That night, a local police officer who was present at the circuit house told the SIT that it was a case of death in custody. According to him, the victim's uncle, Seetharaman, was a local landlord, a money lender and a known LTTE sympathizer. He was already in police custody in connection with another case. The cops sent him to get Shanmugham's dinner. Incidentally, he had a professional rivalry with Shanmugham over the latter's financial rise and proximity to the LTTE, as anyone close to the Tigers enjoyed power in the region. After getting dinner for his nephew, Seetharaman reportedly blamed Shanmugham for settling scores with his competitors by getting them falsely implicated in the assassination case. It was half past ten already. Neither Seetharaman nor Shanmugham had touched their food, even as the argument continued. The DIG and the SSP had gone to sleep. Suddenly a constable started thrashing Shanmugham, and no one intervened. He collapsed on the floor. Yet no one raised an alarm. The victim's clothes were removed, the body was taken out under the cover of darkness and hanged. The lungi that was found, in fact, belonged to Shanmugham's uncle's driver, Das.[11]

Kaarthikeyan refused to take questions on the incident from the media. After much persuasion, he summed up the drama in just a line: 'It's a controversy we could have done without.'

Even as Kaarthikeyan was able to douse the resentment and anger of the locals using his relationship with the Tamil Nadu police, the matter had reached New Delhi by then as some of the DMK MPs had raised the issue in Parliament. The SIT got a bashing from all sides—from the press, from human rights organizations that took a soft view on the Tamil Tigers, and from political parties and NGOs. Union Home Minister S.B. Chavan assured the public that New Delhi was determined to get to the root of the incident even as a magisterial inquiry was instituted, besides an internal inquiry by the vigilance department of the CBI. The Shanmugham incident was a loss of momentum for the SIT.